Customer Consumer Behaviour Guide

CUSTOMER & CONSUMER BEHAVIOUR GUIDE

Consumer Electronics Growth Challenge

1. Purpose

This document explains how customers interact with the company, how customer relationships develop over time, and how customer behaviour should be interpreted.

It provides qualitative context for customer analysis.

It does not replace the quantitative customer datasets.

Use the quantitative datasets when answering questions about:

Customer counts

Revenue

Orders

Purchase frequency

Product combinations

Cohort performance

Retention rates

Customer value

Recency

2. Customer Base

The company maintains a consumer customer base of 60,000 customers.

The customer base is not homogeneous. Customers differ in:

Demographic profile

Product preferences

Purchase frequency

Purchase recency

Order value

Number of products purchased

Response to marketing

Likelihood of repeat purchase

Lifecycle stage

Potential future value

The company therefore views customers as relationships rather than simply records in a database.

3. Primary Customer Segments

The business environment contains three broad customer segments:

Students

Young Professionals

Creators / Gamers

These segments represent broad behavioural tendencies rather than rigid customer identities. A customer may share characteristics with multiple groups. The segments should therefore be used as analytical lenses rather than assumptions about individual customers.

4. Students

Students are generally associated with:

Price sensitivity

Mobile-first usage

Portable technology

Entertainment

Study and productivity needs

Value-conscious purchasing

Products potentially relevant to students include:

Wireless Earbuds

Power Banks

Fast Chargers

Wireless Mice

Mechanical Keyboards

Students may also represent an attractive audience for products that combine:

Affordability

Convenience

Portability

Multiple use cases

However, these are hypotheses. Actual customer data should be used to determine whether student behaviour supports a particular strategy.

5. Young Professionals

Young Professionals may place greater emphasis on:

Convenience

Productivity

Personal technology

Connected devices

Work-life integration

Quality

Portability

Products potentially relevant to this segment include:

Smart Watches

Wireless Earbuds

Wireless Mice

Mechanical Keyboards

Power Banks

Fast Chargers

This segment may therefore offer opportunities across both personal technology and productivity-oriented products. Again, segment characteristics are directional rather than deterministic.

6. Creators / Gamers

Creators / Gamers may have stronger interest in:

Performance

Customisation

Desk setups

Audio

Computing accessories

Gaming-oriented equipment

Products potentially relevant to this segment include:

Mechanical Keyboards

Wireless Mice

Wireless Earbuds

Bluetooth Speakers

This segment can be relevant to specialist product positioning and targeted campaigns. A niche segment may still be strategically attractive even if it is smaller than the company's broad consumer segments.

7. Customer Lifecycle

Customers can be understood through lifecycle stages. The company's behavioural framework includes:

No Purchase

New

Active

At Risk

Lapsed

Each lifecycle state represents a different relationship with the company.

8. No Purchase

A No Purchase customer exists in the customer master but has no recognised historical purchase. This includes customers whose transaction history contains only cancelled orders. A cancelled order does not create recognised purchasing activity.

No Purchase customers therefore represent:

Untapped demand

Potential acquisition opportunities

Dormant database value

They should not be treated as existing revenue-generating customers.

9. New Customers

New customers have recently entered the purchasing relationship. The key strategic question for a new customer is not only:

“Did we acquire them?”

but also:

“Will they purchase again?”

A successful acquisition strategy therefore considers both:

Initial conversion

Subsequent retention

Acquisition without retention can produce a continuously expensive growth model.

10. Active Customers

Active customers have demonstrated relatively recent purchasing behaviour. They represent the company's existing engaged customer base. Potential opportunities include:

Cross-selling

Upselling

Bundling

Product recommendations

Repeat purchase

Loyalty

However, repeatedly targeting active customers can also create unnecessary marketing expenditure if they would have purchased without additional intervention. Incrementality matters.

11. At-Risk Customers

At-risk customers have purchased previously but have not purchased recently enough to be considered fully active. These customers are important because they represent a relationship that already exists. Potential strategies include:

Reactivation

Personalised recommendations

Product reminders

Cross-sell

Incentives

Lifecycle communication

The economic value of reactivation should be compared with the cost of acquiring a completely new customer.

12. Lapsed Customers

Lapsed customers have not purchased for an extended period. A lapsed customer is not necessarily a lost customer. The company may still have:

Historical purchase information

Product preference information

Customer relationship history

Potential product-replacement opportunities

However, the probability of successful reactivation may decline as the relationship becomes older. Therefore, lapsed-customer strategies should consider:

Recency

Previous value

Previous products

Reactivation cost

Expected response

13. Repeat Purchase Behaviour

Repeat purchasing is an important component of the company's growth model. A customer who has already purchased may require less effort to convert than a completely new customer.

However, repeat purchase should not automatically be interpreted as proof that a marketing intervention caused the purchase. Some customers will naturally repurchase. The strategic question is:

“What incremental repeat behaviour can the company influence?”

14. Customer Recency

Recency is an important indicator of customer relationship health. The company's behavioural framework distinguishes:

Very Recent

Recent

At Risk

Lapsed

Long Lapsed

No Purchase

Recency should be interpreted alongside:

Order frequency

Revenue

Product history

Segment

Customer value

A customer who purchased recently once is not necessarily more valuable than a customer with several historical purchases.

15. Customer Value

Customer value should not be reduced to one metric. Potential dimensions include:

Revenue

Order frequency

Basket size

Product breadth

Recency

Repeat behaviour

Acquisition cost

Retention potential

A high-revenue customer may not necessarily be the easiest customer to grow further. A lower-value customer may have significant future potential.

16. Customer Product Relationships

Customers often purchase multiple related products. The company therefore considers:

Product affinity

Complementary purchases

Cross-category behaviour

Product sequences

Bundling opportunities

Examples of potentially complementary relationships include:

These relationships are hypotheses until supported by the customer-product data.

17. Cross-Selling

Cross-selling means introducing an additional product to an existing customer. The company's portfolio provides natural opportunities for cross-selling. Cross-selling can be attractive because the company already has:

Customer identity

Purchase history

Product preferences

Existing relationship

However, cross-selling has limits. Customers should not be treated as infinitely expandable. A cross-sell strategy should consider:

Existing product ownership

Product compatibility

Customer segment

Purchase timing

Customer value

Expected incremental revenue

Marketing cost

18. Bundling

Bundling combines complementary products into a commercial proposition. Potential bundle logic includes:

Audio + Power

Wearable + Power

Keyboard + Mouse

Mobile accessory bundles

Bundles may increase:

Units per order

Basket value

Product adoption

Cross-category penetration

But bundles can also require:

Discounts

Inventory coordination

Fulfilment changes

More complex offers

The financial impact must therefore be evaluated.

19. Acquisition vs Retention

The company faces a fundamental strategic choice between:

Acquisition — Bring new customers into the business.

Retention — Generate more value from existing customers.

Neither is inherently superior. Acquisition can expand the addressable customer base. Retention can increase the value of customers already acquired. The correct balance depends on:

Customer acquisition cost

Customer response

Repeat probability

Customer value

Available market

Marketing efficiency

Scale potential

20. Customer Acquisition

Acquisition introduces customers who have not previously generated recognised purchases. Acquisition strategies can use:

Product campaigns

Performance marketing

Marketplace activity

Brand activity

Regional targeting

Segment targeting

Promotional offers

The company should evaluate acquisition not only on customer volume but also on:

Customer quality

First-order economics

Repeat behaviour

Acquisition cost

Long-term potential

21. Reactivation

Reactivation targets customers who previously purchased but have become inactive.

Potential advantages

Existing relationship

Known purchase history

Known product preferences

Lower information cost

Potential disadvantages

Some customers may be genuinely lost

Incentives may be required

Response rates may be low

Older relationships may be difficult to recover

Reactivation should therefore be targeted rather than indiscriminate.

22. Customer Experience

Customer experience affects more than a single transaction. Relevant dimensions include:

Product quality

Delivery

Availability

Returns

Service

Communication

Price/value perception

Poor customer experience can reduce:

Repeat purchases

Trust

Customer lifetime value

Referral potential

Improving customer experience can therefore function as both a retention strategy and a growth strategy.

23. Returns and Customer Behaviour

Returns are part of the company's commercial environment. A return can affect:

Recognised revenue

Customer experience

Product economics

Operational workload

Future purchasing behaviour

A strategy that increases gross sales while significantly increasing returns may not create equivalent economic value. Participants should therefore distinguish between:

24. Customer Marketing

Different lifecycle stages can require different marketing approaches.

No Purchase — Acquisition

New — Onboarding / second-purchase development

Active — Cross-sell / repeat purchase

At Risk — Reactivation / retention

Lapsed — Targeted reactivation

Long Lapsed — Selective re-engagement

This is a framework, not a rigid rule. The best strategy depends on actual response and economics.

25. Customer Data Interpretation

The customer datasets contain multiple analytical perspectives.

Customer Behaviour — explains “What is happening with individual customer relationships?”

Customer-Product Affinity — explains “What products are customers buying together or separately?”

Cohort Analysis — explains “How do customer groups acquired at different times behave over their observation period?”

These datasets should be considered together.

26. Cohort Thinking

Customer cohorts are based on the customer's first observed purchase month. Different cohorts have different amounts of time available to demonstrate repeat behaviour. A recent cohort cannot fairly be compared with an older cohort as though both had identical observation windows. For example:

A customer acquired one month ago has had little opportunity to make multiple purchases.

A customer acquired more than a year ago has had much greater opportunity to repeat.

Therefore, cohort analysis must account for observation-window effects.

27. Customer Growth Opportunities

Potential customer-driven growth mechanisms include:

New customer acquisition

Second-purchase conversion

Repeat purchase

Reactivation

Cross-selling

Bundling

Customer experience improvement

Segment-specific offers

Personalisation

Lifecycle marketing

No one mechanism is designated as the correct solution.

28. Customer Strategy Trade-Offs

29. What the Company Wants to Learn From Customer Data

The purpose of customer analysis is not simply to rank customers. The company wants to understand:

Where future demand can come from

Which customers are most responsive

Which relationships are weakening

Which products create cross-sell opportunities

Which customer segments are underserved

Where retention can create incremental value

Where marketing expenditure is potentially inefficient

30. Final Customer Principle

The company does not view customers simply as transactions. Each customer represents a relationship with:

History

Behaviour

Preferences

Potential

Costs

Risks

The strongest customer strategy is therefore not necessarily the one that produces the most customers. It is the strategy that produces the greatest sustainable incremental value from the customer relationships the company can realistically influence.

Wireless Earbuds → Power Bank → Fast Charger

Mechanical Keyboard → Wireless Mouse

Smart Watch → Wireless Earbuds → Power Bank → Fast Charger

Gross demand vs. Recognised commercial value

Customer Acquisition
Potential benefit: Larger customer base. Potential challenge: Acquisition cost and uncertain retention.

Retention
Potential benefit: Existing relationship. Potential challenge: Limited incremental headroom among already-active customers.

Reactivation
Potential benefit: Existing customer history. Potential challenge: Some inactive customers may be difficult to recover.

Cross-Sell
Potential benefit: Higher customer value. Potential challenge: Product relevance and customer saturation.

Discounts
Potential benefit: Higher conversion. Potential challenge: Reduced realised value and possible margin pressure.

Personalisation
Potential benefit: Better customer relevance. Potential challenge: Greater operational and marketing complexity.